

Multiple Choice (10 marks)

1. GDP is calculated for each by
 - (a) quarter; The Bureau of Economic Analysis
 - (b) week; The Bureau of Economic Analysis
 - (c) month; The Bureau of Economic Analysis
 - (d) month; The Bureau of Labor Statistics
2. Opportunity costs or implicit costs of a "Mom & Pop"-owned business are:
 - (a) equal to accounting costs.
 - (b) equal to accounting profits.
 - (c) equal to earnings or profits that could have occurred using resources elsewhere.
 - (d) equal to earnings or profits that occurred for Mom & Pop's business.
3. When the price of pears increases, we expect the following:
 - (a) Quantity demanded of pears rises.
 - (b) Quantity supplied of pears falls.
 - (c) Quantity demanded of pears falls.
 - (d) Demand for pears falls.
4. When the value of the U.S. dollar appreciates relative to other currencies which of the following is the most likely to occur?
 - (a) Imports into the United States will decrease.
 - (b) Exports from the United States will increase.
 - (c) U.S. residents will take more vacations in foreign countries.
 - (d) More foreign visitors will travel to the United States.
5. When a firm is earning a normal profit from the production of a good, it is true that
 - (a) total revenues from production are equal to explicit costs.
 - (b) explicit costs are equal to implicit costs.
 - (c) total revenues from production are equal to implicit costs.
 - (d) total revenues from production are equal to the sum of explicit and implicit costs.

True / False (10 marks)

Answer True or False

6. True or False: A change in technology does not shift the aggregate demand curve.
7. True or False: The production from the Italian shoe factory in the U.S. is included in the U.S. GDP.
8. True or False: If the demand curve is perfectly inelastic and the supply curve is price elastic, consumers bear the largest burden of an excise tax.
9. True or False: Real GDP is GDP adjusted for price changes to reflect the true value of goods and services.
10. True or False: When the demand curve shifts to the left and the supply curve shifts to the right, the equilibrium price of a good decreases.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss how expansionary monetary policy during a recession can lead to increased investment, aggregate demand, and employment, and analyze its potential impact on the economy.
12. Discuss the decision-making process of a rational consumer when consuming Girl Scout cookies, focusing on how they determine when to stop eating based on marginal benefit and marginal cost.

End of Paper